To: Ritu Deshpande
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Subject: Claim review: how to use the fraud scores

Bottom line

Ask the investigation desk to review only claims from partners that already have a confirmed fraud since 1 May. In June that would have meant 25 reviews, 13 frauds stopped and about Rs 8,000 ahead after costs. Please don't judge the tool on accuracy, and don't fill all 40 desk places just because they exist.

Why accuracy misleads

About 1 claim in 80 is fraud. A rule that approves every claim without looking is 98.7% accurate and stops nothing. In June that same do-nothing rule scores 96.91%, below the board's 97% target, only because fraud went up. A better measure is rupees of fraud stopped per claim checked.

What changed on 1 May

Claims under Rs 2,000 stopped being inspected, and the fraud moved there: 35 of the 36 confirmed frauds since 1 May are under Rs 2,000. All 36 come from 10 partners, 8 of them new and 2 long-established. Being new is not the signal, though: 37 of the 45 new partners have no confirmed fraud at all.

What the tool does

It scores each claim when it arrives and costs nothing to run. It recommends a review only when the partner's confirmed fraud rate since 1 May is above average, up to 40 a month, and it never pads the list.

The money, June

Of 25 claims reviewed, 13 were fraud and 12 were genuine customers who were held up. After Rs 380 goodwill for each genuine claim and Rs 260 for each review, that was about Rs 8,000 ahead. On this little data it could have been anywhere from a loss of about Rs 3,000 to a gain of about Rs 21,000. A forced list of 40 would have lost about Rs 4,300. Reviewing pays only when more than about 1 in 3 reviewed claims is fraud; in June it was about 1 in 2.

Next week

1. Put the 10 flagged partners on a watchlist. I will send the names separately; they are not in the repository.
2. Consider taking flagged and brand-new partners out of the under-Rs-2,000 auto-approval. This is only a suggestion; I could not test it on this data.
3. Run a one-month pilot, and stop it if fewer than 1 in 3 reviewed claims turn out to be fraud.

What could go wrong

This rests on one month: 22 frauds from 8 partners. The list missed 9 of the 22, and those 9 were worth more in rupees (about Rs 26,600) than the 13 it caught (about Rs 19,100). Two of the ten flagged partners are flagged on only 2 claims each. I do not know how long an investigation takes, and the result depends on it. In May, the first month after the change, the tool ranked claims the wrong way round, and it could do that again if the pattern moves.

Three questions for you

1. How long does an investigation take?
2. Does every review really cost a Rs 260 service contact, with Rs 380 goodwill for each genuine claim held?
3. Will the board accept “rupees of fraud stopped per claim reviewed” in place of accuracy?